

Business Performance Overview

The business is experiencing significant financial challenges with declining profitability despite substantial sales volumes. Sales showed volatility across months, ranging from ₹935M to ₹1,252M, but consistently resulted in negative gross profits. Cash flow management appears problematic with heavy reliance on financing activities to sustain operations, while operating cash flows show extreme volatility from negative ₹1,009M to positive ₹548M.

Overall Health Gauge: 🚩 CRITICAL

🟢 GREEN FLAG BOX — What's Working Well:

- ✅ Strong sales volume reaching ₹1.25B in March 2025
- ✅ Effective control over selling and administrative expenses in April (₹5.6M)
- ✅ Consistent non-operating income providing some offset to operational losses

🚩 RED FLAG BOX — What Needs Attention:

- ⚠️ Severe gross profit losses, especially in April (-₹586M)
- ⚠️ Consistently negative EBITDA across all periods
- ⚠️ High interest costs consuming significant cash flow

Key Financial Trends (in Millions)

Month	Sales	Gross Profit	Operating Cash Flow
Jan 2025	935	-14	-1,009

Feb 2025	1,021	5	-251
Mar 2025	1,252	-10	274
Apr 2025	967	-587	548

CFO Strategic Advice:

"The business is in a critical state with unsustainable losses. Immediate focus should be on cost restructuring, particularly addressing the high COGS that consistently exceeds sales. Review pricing strategies and supplier contracts to restore positive gross margins. Simultaneously, optimize working capital management to reduce cash flow volatility and dependence on external financing."